

What is a Cooperative?

"A cooperative is a joint venture with its shareholders, formed for their benefit and governed by them. It's a not-for-profit corporation. All cooperatives, and certainly ours, have specific criteria for residents. In our case, residents need to live green and be environmentally conscious.

"On the face of it, co-ops may look just like condos. They're often in the same types of buildings and may even be on the same street as a condo complex. A big difference is in how the properties are owned. In the case of a co-op, the cooperative corporation owns the land, buildings, and all rights and interests in the corporation. The individual shareholders, then, own shares of the corporation.

"This arrangement means it's not a fee simple type of ownership, like a condo would be, or your traditional real estate purchase. Shareholders don't own any real estate, just shares in the corporation. Those shares come with a lease to use the property, to live here, to share in the benefits of living here. Otherwise, the shares are personal property just like a share in any corporation would be.

"However, unlike shares in a stock, for instance, you can't just divest yourself of shares of ownership in a co-op. It's a bit more complicated than that. We'll talk about that later. For now, just understand that shareholders own a proprietary lease that's issued by the cooperative corporation. They also pay a monthly maintenance fee.

"The fee is paid to the board of directors, which manages the cooperative. The board is responsible for all the financial and policy decisions of the corporation. Some boards will hire outside management companies. We are lucky to have the talent inside to do this—a couple of CPAs are on our board, for instance. Co-op boards operate like most corporation boards. They have to follow the rules established in the bylaws and our certificate of incorporation, and they have to be good stewards of our money and interests."